



It's My Business and My Money **Do I Need to Keep Them Separate?**

Why Every Entity — LLC, S-Corp, or Just a DBA — Needs Its Own Financial Identity

A field guide for owners who wear every hat in the business

A NOTE BEFORE WE START

This presentation is provided for general educational purposes only and does not constitute tax, legal, or accounting advice for any specific individual or entity. The treatment of commingled funds, owner draws, and entity separation depends heavily on the facts and circumstances of each situation — what applies to one business may not apply to another.

Nothing in this deck should be relied upon in place of consultation with a qualified CPA, tax advisor, or attorney regarding your specific situation. Nácar & Ledger is glad to discuss how these issues may apply to your business directly.

WHY THIS LIST EXISTS

When you own 100% of the business, keeping the money separate can feel like a formality nobody really needs. It stops feeling like a formality the day a lender, a court, or the IRS asks you to prove where the business actually ends and you begin.

No liability shield left to pierce

Commingled funds are exactly what courts look at when deciding whether an LLC or S-corp's liability protection still applies — or never really existed.

No defensible numbers

Without separation, there's no way to prove what's a real business expense — whether there's a legal shield involved or not.

No real picture of the business

One pool of money makes it impossible to tell whether the business is actually profitable, or just moving cash in a circle.



One Account for Everything

THE MISTAKE

Every dollar — business revenue, personal groceries, an owner's night out — comes out of the same account, no matter what kind of entity is on paper.

WHY IT HAPPENS

It's one person making every decision, so it feels like one pool of money regardless of what the paperwork says.

WHAT IT COSTS YOU

For an LLC or S-corp, this is exactly what a court examines when deciding whether to pierce the liability shield. For a DBA, there's no shield to lose — but there's also no way to prove what's a real business expense the day the IRS asks.



The “It's My Money” Mentality

THE MISTAKE

The underlying belief that because you own the whole business, there's no real difference between the business's money and your own.

WHY IT HAPPENS

Ownership feels total, so the boundary feels artificial — something imposed by accountants, not something real.

WHAT IT COSTS YOU

The entity is its own legal and financial person whether you treat it that way or not — LLC, S-corp, or DBA alike. Ignoring that doesn't erase the boundary; it just means nobody's tracking where it actually sits.



No Real Draw or Distribution Process

THE MISTAKE

Money moves out whenever it's needed, in whatever amount, with no consistent pattern or record of what it actually is.

WHY IT HAPPENS

There's no HR department or board setting a policy — the owner is the only signer, so nothing stops an impulsive transfer.

WHAT IT COSTS YOU

Without a real draw process, there's no way to separate legitimate profit distribution from money that's actually still owed back — to the business, the IRS, or eventually a court.



Treating a DBA Like Separation Doesn't Matter

THE MISTAKE

Because a DBA offers no liability shield, the owner assumes there's no reason to separate accounts at all.

WHY IT HAPPENS

If the law doesn't require it, separation feels optional — a nice-to-have instead of a real discipline.

WHAT IT COSTS YOU

A DBA with commingled books can't prove its own numbers to a lender, can't cleanly convert into an LLC later, and has no defensible expense trail if the IRS ever asks — the liability shield was never the only reason to separate.



Running Personal Purchases Through the Business

THE MISTAKE

Personal expenses get paid from the business account and categorized as business costs because it feels like free tax savings.

WHY IT HAPPENS

A deduction feels like money saved, and nobody's checking the categorization in real time.

WHAT IT COSTS YOU

Misclassified personal expenses are one of the first things an examiner finds — and once one number is wrong, the credibility of every other number on the return goes with it.



Separate Accounts, But No Real Equity Tracking

THE MISTAKE

The business has its own bank account, but draws and contributions never get recorded to an actual equity account — they just vanish into “miscellaneous.”

WHY IT HAPPENS

Opening a second account feels like the whole fix, so the bookkeeping behind it doesn't get the same attention.

WHAT IT COSTS YOU

Without tracking contributions and draws against equity, nobody — not the owner, not a lender, not an examiner — can tell whether the business is actually profitable or just moving cash in a circle.

How This Actually Catches Up With You

Commingled funds resolve themselves one of two ways — and one is a lot more expensive than the other.

PATH A

You Catch It Yourself

A real business account gets opened, a consistent draw process gets established, and the books get untangled before anyone outside the business is looking.

The fix happens quietly, on your own timeline, before it costs you anything but the time to do it.

PATH B

Someone Else Catches It First

A lender questions the numbers, a court examines the entity during a lawsuit, or an examiner finds personal expenses buried in the business return.

For an LLC or S-corp, that's the liability shield unwound. For anyone, it's disallowed deductions, reconstructed income, and penalties — on someone else's timeline, not yours.

The Fix Is Almost Always the Same

1

Open a real business account

Every entity, every time — no exceptions for a DBA.

2

Pay yourself on purpose

A consistent draw or distribution process, not ad hoc withdrawals.

3

Track draws against equity

Every dollar in or out gets recorded to the right account, not “miscellaneous.”

4

Keep receipts separated

Personal stays personal, business stays business, no exceptions for convenience.

5

Review the account monthly

Not just at tax time, when the trail has already gone cold.

6

Treat it as its own entity

Because legally and financially, whether LLC, S-corp, or DBA, it is one.



Untangle It Before Someone Else Does

A real line between you and your business is one of the highest-leverage things any owner can set up — no matter what kind of entity is on paper.

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